

SENATE BILL 1936

By Reeves

AN ACT to amend Tennessee Code Annotated, Title 52;
Title 56 and Title 71, relative to prescribed
pediatric extended care centers.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 52, Chapter 2, is amended by adding
the following as a new part:

52-2-1201. Part definitions.

As used in this part:

(1) "Basic services" includes:

(A) The development, implementation, and monitoring of a
comprehensive protocol of care that:

(i) Is provided to a medically dependent or technologically
dependent minor;

(ii) Is developed in conjunction with the minor's parent or
legal guardian; and

(iii) Specifies the medical, nursing, psychosocial,
therapeutic, and developmental services required by the minor
served; and

(B) The caregiver training needs of the minor's parent or legal
guardian;

(2) "Center" means a prescribed pediatric extended care center;

(3) "Controlling person":

(A) Means a person who, by ownership, contract, or otherwise, has the authority, acting alone or in concert with another, to directly or indirectly influence, direct, or cause the direction of the management of, expenditure of money for, or policies of a center or another person; and

(B) Does not include, if a center is a publicly traded corporation, a shareholder or lender of such publicly traded corporation;

(4) "Medically dependent or technologically dependent minor":

(A) Means a minor who because of an acute, chronic, or intermittent medically complex or fragile condition or disability requires ongoing, technology-based skilled nursing care prescribed by the minor's physician to avert death or further disability or the routine use of a medical device to compensate for a deficit in a life-sustaining body function; and

(B) Does not include a nonacute or occasional medical condition that does not require continuous nursing care, including asthma, diabetes, or a condition that requires an epinephrine injection;

(5) "Minor" means a person who is twenty (20) years of age or younger;

and

(6) "Prescribed pediatric extended care center" means a facility operated for-profit or on a not-for-profit basis that provides nonresidential basic services to four (4) or more medically dependent or technologically dependent minors who require the services of the facility and who are not related to the owner or operator by blood, marriage, or adoption.

52-2-1202. Prescribed pediatric extended care centers to be licensed – Exemptions.

(a) A person shall not own or operate a center in this state unless the person holds an initial or renewal license pursuant to this part.

(b) A separate initial or renewal license is required for each individual center, regardless of whether the centers are under the ownership or operation of the same person.

(c) A person shall not operate a center in the same location as:

(1) A child care agency, as defined in § 71-3-501; or

(2) Any other facility licensed pursuant to this title or title 71.

(d) A facility operated by the federal government is exempt from the licensure requirement in subsection (a).

52-2-1203. Fees.

A person applying for an initial or renewal license to operate a prescribed pediatric extended care center shall pay a fee established by the department.

52-2-1204. Initial application for license.

(a) An applicant for an initial center license shall submit to the department:

(1) A sworn application on a form provided by the department;

(2) A letter of credit to demonstrate the applicant's financial viability; and

(3) The initial license fee.

(b) The application must contain:

(1) The location of the center for which the license is sought;

(2) Documentation, signed by the appropriate local government official, stating the location and use of such location meets local zoning requirements;

(3) The name, address, and social security number of, and background and criminal history check information, as described in § 52-2-1208, for:

(A) The applicant;

(B) The administrator responsible for daily operations of the center;

(C) The financial officer responsible for financial operations of the center; and

(D) Each controlling person;

(4) The name, address, and federal employer identification number or taxpayer identification number of the applicant and of each controlling person, if the applicant or controlling person is not an individual;

(5) The business name of the center;

(6) The maximum patient capacity requested for the center; and

(7) A sworn affidavit that the applicant has complied, and will continue to comply, with this part and rules adopted pursuant to this part.

(c)

(1) The department shall issue an initial license to a center if the department determines that the applicant and the center meet the requirements of this part and the rules adopted pursuant to this part.

(2) The license must include:

(A) The license holder's name;

(B) The location of the center; and

(C) A statement indicating the center provides services to minors for a maximum of twelve (12) hours in a twenty-four-hour period and does not provide twenty-four-hour care.

52-2-1205. Initial or renewal license term – Renewal – Notification.

(a)

(1) An initial or renewal license expires three (3) years after issuance of such license.

(2) The department shall establish a system in which licenses expire on staggered dates during each three-year period.

(3) The department shall prorate the license fee as appropriate if the expiration date of a license changes as a result of this subsection (a).

(b) A person applying to renew a center license shall:

(1) Submit a renewal application on a form provided by the department at least sixty (60) days but no more than one hundred twenty (120) days before the expiration of the license;

(2) Submit a renewal fee; and

(3) Comply with any other requirement as established by the department.

(c) The department shall assess a fifty-dollar-per-day late fee to a license holder who submits a renewal application after the date described in subsection (b), except that the total amount of a late fee must not exceed fifty percent (50%) of the license renewal fee or five hundred dollars (\$500), whichever is less.

(d) At least one hundred twenty (120) days before the expiration of a center license, the department shall notify the owner or operator of the center of the upcoming license expiration.

52-2-1206. License display.

Each center licensed pursuant to this part shall display the center's license in a conspicuous location readily visible to a person entering the center.

52-2-1207. Maintenance of records.

Each center shall maintain at the center the medical and other records required by this part and by rules adopted pursuant to this part.

52-2-1208. Background checks required.

Any employee, subcontractor, or volunteer at a center shall have a criminal background check completed, as described in § 52-2-1002.

52-2-1209. Denial, suspension, and revocation of licensure – Administrative fines – Grounds.

(a) The department may deny, revoke, or suspend a license and impose an administrative fine for the violation of this part or any applicable rules adopted by the department.

(b) Any of the following actions by a center or its employees are grounds for action by the department:

(1) An intentional or negligent act materially affecting the health or safety of a minor in a center;

(2) Fraudulent acts, including acts relating to medicaid fraud and obtaining or attempting to obtain a license by fraud or deception;

(3) A violation of this part or any applicable rules adopted by the department; or

(4) A license revocation, suspension, or other disciplinary action taken against the license holder or any person listed in the application in another state.

52-2-1210. Inspections – Corrective action plan.

(a) The department may inspect a center, including its records, at any reasonable time as necessary to ensure compliance with this part. The center shall provide the department with access to all center records.

(b) The department shall inspect a center before issuing or renewing a license.

(c) The department may require a center that undergoes an inspection to:

(1) Take appropriate corrective action necessary to comply with the requirements of this part and any rules adopted pursuant to this part; and

(2) Submit a corrective action plan to the department for approval.

(d) A center shall make available to any person on request a copy of each inspection report pertaining to the center that has been issued by the department.

Before making an inspection report available pursuant to this subsection (d), the center shall redact from the report any information that is confidential under state or federal law.

52-2-1211. Administrative fines – Disposition of fines and fees.

(a) If the department determines that a center is not in compliance with this part or any applicable rules adopted by the department, then the department may request that the center submit a corrective action plan that demonstrates a good faith effort to remedy each violation by a specific date, subject to the department's approval.

(b) The department may fine a center or employee found in violation of this part or any applicable rule adopted by the department in an amount not to exceed five hundred dollars (\$500) for each violation.

(c) The failure to correct a violation by the date set by the department, or the failure to comply with an approved corrective action plan, as described in subsection (a), is a separate violation for each day such failure continues, unless the department approves an extension to a specific date.

(d) When determining if a fine is to be imposed and in fixing the amount of a fine, the department shall consider the following factors:

(1) The seriousness of the violation, including the nature, circumstances, extent, and gravity of the violation;

(2) The threat to health or safety caused by the violation;

(3) Any previous violations;

- (4) The amount necessary to deter a future violation;
- (5) The efforts made by the violator to correct the violation; and
- (6) Any other matter the department deems necessary.

52-2-1212. Injunction.

(a) The department may seek a temporary restraining order from the chancery or circuit court of the county in which the center is located seeking immediate closure of a center to prevent further harm or threat of harm to the minors at the center or immediate restraint against any violations of the licensing laws or rules that are harming or that threaten harm to the minors at the center.

(b) The department may seek any further injunctive relief as permitted by law in order to protect the minors from the violations or threatened violations of the licensing laws or rules. The use of injunctive relief as provided in this section may be used as an alternative or supplementary measure to the issuance of an order of summary suspension or any other administrative proceedings.

52-2-1213. Closing of a center.

(a) As used in this section:

(1) "Enrolled minor" means a minor who:

(A) Is currently enrolled at a center and for whom tuition or attendance fees are being paid;

(B) Has attended the center within the last ninety (90) calendar days; or

(C) Is currently on a wait list for enrollment at the center; and

(2) "Permanent closure" means the center ceases to do business as a center and discontinues all care indefinitely.

(b) As early as practicable prior to permanent closure, a center shall provide notice of the permanent closure to each parent or legal guardian of each enrolled minor.

(c) Notice required by subsection (b) may be provided by a written or electronic communication, a posting of such notice at the center, or a public posting of such notice that the center deems an appropriate means for communication with each parent or legal guardian.

(d) This section does not prohibit the department from exercising any duty or power given to the department in this title or by rule regarding the operational status or licensure of a center.

52-2-1214. Admission to a center – Services provided.

(a) A minor may be admitted to a center if the minor meets the following criteria:

(1) The minor is a medically dependent or technologically dependent minor;

(2) The minor's prescribing physician issues a prescription ordering care at the center;

(3) The minor's parent or legal guardian consents to the minor's admission to the center;

(4) The admission is voluntary based on the parent's or legal guardian's preferences in both managed care and non-managed care service delivery systems; and

(5) The minor's parent or legal guardian signs a consent document illustrating the involvement of the parent or legal guardian in developing and establishing the care and treatment to be provided to the minor in the center.

(b) An admission authorized under this section is not intended to supplant the right to a medicaid private duty nursing benefit, when medically necessary.

(c) A minor's parent or legal guardian is not required to accompany the minor when the minor receives services in the center, including therapy services delivered in the center but billed separately.

(d) A center shall not provide:

(1) Services to a minor for more than twelve (12) hours within a twenty-four-hour period; and

(2) Services other than those provided to medically dependent or technologically dependent minors.

(e) The maximum patient capacity at a center must not exceed sixty (60).

52-2-1215. Transportation services.

(a) The department shall establish minimum standards for transportation services for the minor, including:

(1) Permitting a center to determine:

(A) In coordination with a minor's parent or legal guardian, the schedule of transportation services; and

(B) In coordination with the minor's prescribing physician, the necessary type of healthcare provider who must be present during transportation; and

(2) Permitting a minor's parent or legal guardian to decline a center's transportation services entirely or on a specific date.

(b) The department shall not:

(1) Require a care plan or physician's order to document a minor's need for transportation services to access a center's services; and

(2) Consider transportation services as nursing services included in the minor's care plan.

52-2-1216. Interference with rights to determine treatment.

(a) Except as provided by subsection (b), the department shall not interfere with the authority of a parent or a legal guardian of a minor at a center to make decisions regarding the treatment provided to such minor.

(b) The department may limit the maximum amount of authorized services provided to a minor who receives services at a center.

52-2-1217. Rules establishing standards.

The department shall promulgate rules to establish minimum standards for operating a center, including:

(1) Standards relating to the issuance, renewal, denial, suspension, and revocation of a license to operate a center;

(2) Standards relating to the provision of family-centered basic services that include individualized medical, developmental, and family training services;

(3) Building construction and renovation standards based on the size of the building and the number of minors served, including standards for plumbing, electrical, glass, manufactured buildings, accessibility for a person with a physical disability, and fire protection;

(4) Building maintenance conditions, based on the size of the building and the number of minors served, relating to plumbing, heating, lighting, ventilation, adequate space, fire protection, and other conditions;

(5) Standards relating to the minimum number of and qualifications required for personnel who provide personal care or basic services to the minors served;

(6) Standards relating to the sanitary conditions within a center and its surroundings, including water supply, sewage disposal, food handling, and general hygiene;

(7) Standards relating to the programs offered by the center to promote and maintain the health and development of the minors served and to meet the training needs of the minors' parents or legal guardians;

(8) Standards relating to physician-prescribed supportive services;

(9) Standards relating to the maintenance of patient medical records and program records in accordance with state and federal law and with accepted professional standards and practices; and

(10) Standards relating to transportation services, as described in § 52-2-1215.

52-2-1218. Criminal penalties.

(a) A person commits a Class B misdemeanor if the person knowingly establishes or operates a center without the appropriate license issued pursuant to this part.

(b) Each day a violation occurs constitutes a separate offense.

52-2-1219. Rules.

The department is authorized to promulgate rules to effectuate this part. The rules must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

SECTION 2. Tennessee Code Annotated, Title 71, Chapter 5, Part 1, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Bureau" means the bureau of TennCare; and

(2) "Enrollee" means an individual enrolled in TennCare.

(b) The bureau shall provide coverage and benefits for an enrollee for services rendered at a prescribed pediatric extended care center, as described in title 52, chapter 2, part 12, subject to approval by the federal centers for medicare and medicaid services.

(c) The director shall submit to the federal centers for medicare and medicaid services a request for any federal waiver the director deems necessary to effectuate this section no later than December 31, 2026.

SECTION 3. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 4. For the purposes of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect January 1, 2027, the public welfare requiring it.